

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE,

— vs. —

**MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR SOLOVYEV
a/k/a ROYAL FINANCE GROUP INC.**

COMPLAINANTS' REMAND REPLY BRIEF AND APPENDIX

Marcus A. Nussbaum, Esq.
Mail Drop: P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

November 14, 2019

Complainants Crocus Investments, LLC and Crocus, FZE (collectively “complainants”), by their counsel, Marcus A. Nussbaum, Esq. hereby respectfully submit their Remand Reply Brief pursuant to the Chief Administrative Law Judge’s (“ALJ”) Order of July 22, 2019 as amended on August 9, 2019.

A. Relevant Procedural Background

On July 16, 2019, the Federal Maritime Commission (FMC) issued a Memorandum Opinion and Order (the “Order”) affirming the Initial Decision of June 17, 2016 (the “ID”) in all respects except for complainants’ 46 U.S.C. § 41102(c) claim against Respondent Marine Transport Logistics (“MTL”) regarding the storing or handling of the complainants’ Formula boat from August 2013 through February 14, 2014. The Commission vacated the ID as to that claim and remanded for further consideration.

On July 22, 2019, the ALJ directed the parties to submit a further brief, explaining that the “...briefs must be limited to the narrow issue remanded by the Commission – whether Respondents violated 46 U.S.C. § 41102(c) with respect to storage or other arrangements for the Formula boat from August 2013 to February 14, 2014” and that the “...parties should address whether or not the Respondents were acting as ocean transportation intermediaries in handling the Formula boat during the relevant time period....Parties should not brief issues affirmed by the Commission. Only the issue vacated and remanded will be decided.” See, July 22, 2019 Order Scheduling Remand at p. 1.

Complainants filed their Remand Brief on September 27, 2019 and respondent Marine Transport Logistics Inc. (“MTL”) filed its Remand Opposition Brief on October 28, 2019. Respondents Aleksandr Solovyev a/k/a Royal Finance Group Inc. have not filed a Remand Opposition Brief.

B. Discussion

MTL's Failure To Follow The Instructions Of The Commission And ALJ To Address The Narrow Issue Remanded By The Commission Concedes The Issue In Complainants' Favor

MTL's Remand Opposition Brief is broken down into four (4) discrete sections, the first three of which do not abide by the directives of the Commission and ALJ, and which were, to wit: to address the narrow issue remanded by the Commission – whether Respondents violated 46 U.S.C. § 41102(c) with respect to storage or other arrangements for the Formula boat from August 2013 to February 14, 2014” and “...whether or not the Respondents were acting as ocean transportation intermediaries in handling the Formula boat during the relevant time period...”. The fourth section of MTL's Remand Opposition Brief purports to argue that MTL never acted as an ocean transportation intermediary (“OTI”) during the subject time period, and that MTL disputes that a payment in the sum of \$8,400 was payment of ocean freight for the Formula. Nowhere in MTL's Remand Opposition Brief, is any substantive argument in opposition to all of the numerous arguments and factual examples set forth by complainants regarding MTL's OTI activity, as well as other payments made by complainants to respondents and MTL.

To the extent that in the first three (3) sections of MTL's Remand Opposition Brief that MTL has failed to abide by the directives of the Commission and ALJ to address specific and narrow issues delineated for remand, while complainants respond to those arguments herein, complainants nevertheless request that the ALJ disregard and give no consideration to the arguments proffered by MTL in its brief.

Additionally, and despite the clear directives of the Commission and ALJ, MTL does not, even in the fourth section of its Remand Opposition Brief, substantively oppose the various arguments raised in Complainants' Remand Brief regarding the issues set forth above. By failing to comply with the Orders and directives of the Commission and ALJ and address the issue of

whether Respondents violated 46 U.S.C. § 41102(c) with respect to storage or other arrangements for the Formula boat from August 2013 to February 14, 2014 and “...whether or not the Respondents were acting as ocean transportation intermediaries in handling the Formula boat during the relevant time period”, MTL and respondents have effectively conceded these issues in complainants’ favor. See, e.g., Thomas v. Roach, 165 F.3d 137, 146 (2d Cir. 1999) (“We need not consider this argument because it is raised in the first time in his reply brief.”); U.S. v. Gigante, 39 F.3d 42, 51 FN2 (2d. Cir. 1994) (“Arguments may not be made for the first time in a reply brief.”).

I. The Commission’s Use Of Precedent Such As J.M. Altieri v. Puerto Rico Ports Authority Does Not Bar Complainants From Seeking Relief for Respondents’ Violations of the Shipping Act

In the first instance, and as set forth above, the first section of MTL’s Remand Opposition Brief addresses issues outside of the scope of what the Commission and ALJ directed the parties to brief on remand. It appears that MTL has improperly taken issue with and appears to be arguing against the Commission’s reliance upon the ALJ’s decision in the matter of *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416 (ALJ 1962) for what MTL explains the Commission has relied upon “...in restoring the scope of Section 41102(c) of the Shipping Act...”. See, MTL’s Remand Opposition Brief at p.1. - - This is not responsive to the arguments raised in complainants’ remand brief, and it is respectfully submitted that respondents’ failure to follow routing instructions is not the issue on remand.

Without burdening the Presiding Officer with an *ad nauseum* regurgitation of the arguments already set forth at length in Complainants’ Remand Brief, this matter does not revolve around any alleged failure to follow routing instructions, but is rather about, *among other things*: a) MTL’s deliberate failure to inform complainants about accumulation of storage fees related to the storage of the Subject Formula boat; b) respondents’ silence for period of *at least three months* after having taken possession of the Formula while allegedly undertaking to find a suitable trailer

so that the Formula could be exported, all done deliberately in order to allow storage charges to accrue; c) respondents' abject failure to complete some of their duties to secure delivery of the Formula (such as finding a suitable trailer so that the Formula boat could be exported despite having collected monies twice from complainants for payment for the trailer) in order to allow storage charges to accrue; and d) respondents' practice of taking unlawful commissions and for issuing inflated invoices, and specifically, invoices for the purchase of the Formula.¹

In the matter at bar, the time period subsequent to February 14, 2014 as referenced by MTL in its Remand Opposition Brief is irrelevant because the Shipping Act violations listed above occurred prior thereto, and those violations are what *resulted* in complainants coming to the decision that respondents were "crooks", as well as complainants' subsequent request to have the Formula and other boats delivered to Florida.

MTL's argument that the Shipping Act violations had occurred subsequent to February 14, 2014 and that this was allegedly after the "shipping aspect" of the transaction had been "completed" (thus vindicating MTL from any liability herein) invites the type of convoluted logic worthy of Rube Goldberg. MTL's argument that there was allegedly no "legal connection" (whatever that is meant to mean) between MTL and complainants in that MTL allegedly "...dealt exclusively with Andrey Tretiakov and Middle East Asia Alfa, FZE..." fares no better.

¹ As explained in Complainants' Remand Brief (with references to exhibits that are omitted here), complainants were charged \$12,000.00 for loading/shipping the Formula to Dubai. This sum includes monies for a commission which MTL charged for arranging for the shipment of complainants' cargo with the ocean liner. Solovyev testified that he did not know how much commission was charged. The ALJ also found that "Solovyev through RFG forwarded payments he had collected from Complainants for MTL's shipping services to MTL". Respondents admitted this fact as to the two other boats (to wit: the Monterey and Chaparral) at issue in this matter. As to the Monterey, the record demonstrates that RFG charged complainants the sum of \$2,400 for loading/shipping to Dubai but MTL received the total sum of \$3,441.00 for this shipment. In these proceedings, RFG produced a copy of a check written to MTL in the sum of \$3,441.00 bearing notation "83038" which respondents explained in their Reply to Complainants' Second Petition to Reopen Proceedings, that: "...the RFG check is and was what it was represented to be: a payment made to MTL for ocean freight for the export of the Monterey Boat. As to the Chaparral, RFG charged complainants \$2,400 for loading/shipping to Dubai but MTL admitted that RFG check no. 5111, in the amount of \$6,025.00 produced in this matter was payment applied to the U.S./Dubai export of the Chaparral boat.

Specifically, the ALJ's analysis in the ID has addressed and clearly established the "legal connection" between MTL and complainants.² Despite the foregoing, MTL's argument ignores that fact that complainants were *directly injured* as a result of the Respondents' violations of the Shipping Act.

Setting aside for the moment that the ALJ had agreed that complainants herein had an unquestionable right to pursue their claims against respondents, it is nevertheless well settled that it is the subject matter of the activity complained of, that raises questions, namely, whether respondents' conduct falls within the purview of the sections of the 1984 Act alleged to have been violated. See, Sea -Land Dommicana, S.A. And Sea -Land of Puerto Rico, Inc. v. Sea -Land Service Inc., 1992 WL 231208, 26 S. RR.578 (FMC 1992). Section 11(a) of the 1984 Act, 46 U S C app § 1710, provides that "**any**" person may file a complaint to allege a violation of the Act and may seek reparation for ***any injury caused as a result of that violation.***

It is also well settled that a contractual relationship between the parties ***is not required to support a complaint*** under section 11(a) of the 1984 Act. For the purpose of standing, ***it is sufficient for complainant to allege injury and charge the respondent with its cause.*** See, Cargill, Inc. v. Waterman Steamship Com., 21 S. R. R287, 300 (198 1) (emphasis added), (supplier to shipper has standing to file complaint under section 22 of the 1916 Act even if not alleging injury to itself), see also Chilean Nitrate Sales Corp. v. Port Of San Diego, San Diego Unified Port District, 1988 WL 340644, FMC No 1582(I), (By the Commission April 29, 1988) (Order of

² By way of example, in FF#'s 76-89 on pp. 16-17 of the ID, the ALJ set forth in detail that: a) invoices for purchase of Formula were sent by RFG to Mr. Safonov and Crocus Investments; b) the invoices show that Safonov and Crocus Investments were charged for purchase of the Formula and for delivery of same; c) Crocus Investments wired monies (to wit: \$56,280.00) to RFG as payment for these invoices; d) RFG sent invoices to Crocus FZE with charges for loading and shipping the Formula to Dubai, charges for commissions and preparation of shipping documents, and charges for purchase of a boat trailer; and e) Crocus FZE wired monies to RFG as payment for these invoices.

Remand), Streak Products, Inc. v. UTI, United States, Inc., 2013 WL 9808687, FMC No 13 -04 (ALJ October 23, 2013) (Order Denying Respondent's Motion to Dismiss).

By arguing that the “shipping aspect” of the transaction had been allegedly been “completed”, MTL has effectively conceded that it had acted as an OTI during the subject time period. In any event, and as set forth in the numerous findings of fact set forth in the ID, as well as those set forth in Complainants’ Remand Brief, it is undisputed that respondents have, during the subject time period, and in the regular course of business, generated documents such as MTL Vessel Bills of Sale, dock receipts, warehouse receipts, or other documents memorializing the receipt of cargo for storage pending export (for example, the WEC Warehouse Receipt for the subject Mercedes and Porsche referenced in the ID which respondents exported to Dubai), as well as numerous other examples that it had acted as an OTI during the subject time period.

II. MTL’s Unjust And Unreasonable Practices During The Subject Time Period And Which Occurred On A Normal, Customary And Continuous Basis Are Self-Evident

It is respectfully submitted that MTL’s arguments regarding an alleged failure by complainants to “delineate” MTL’s Unjust and unreasonable practices should not have any effect on the Presiding Officer’s analysis and (what complainants believe will be the) ultimate conclusion that MTL and respondents violated 46 U.S.C. § 41102(c) with respect to storage or other arrangements for the Formula boat from August 2013 to February 14, 2014. These arguments fail to address the issues which the parties were directed to brief and fail to address the issues set forth in Complainants’ Remand Brief. Nowhere in MTL’s Remand Opposition Brief is any substantive response to the approximate fifty-seven (57) pages of legal argument and factual information proffered by complainants on remand on the issues of respondents’ OTI activity with regard to the Formula and their violations of the Shipping Act with respect to same. Rather MTL’s Remand

Opposition Brief contains various didactic proclamations and wonderings out loud, those are addressed in turn, below.

Page “3” of MTL’s Remand Opposition Brief asks “[w]hat did MTL do that is so unreasonable and unjust between August 2013 and February 14 of 2014?”. Without needlessly rehashing arguments already set forth above and in Complainants’ Remand Brief, suffice it to say again that MTL and respondents *failed* to inform complainants about accumulation of storage fees related to the storage of the Subject Formula boat (specifically by never providing any accounting for storage charges or providing statements of account on a regular basis) - - this was MTL’s customary way of doing business as established in this and other matters before the Commission involving MTL as a respondent.

MTL also deliberately remained silent for period of at least three months after having taken possession of the Formula while allegedly undertaking to find a suitable trailer so that the Formula could be exported, in order to allow storage charges to accrue³; acted in the capacity of Ocean Freight Forwarder (“OFF”) by giving advice on the need to find a suitable trailer and then failed to complete some of their duties to secure delivery of the Formula (such as actually finding a suitable trailer so that the Formula boat could be exported despite having collected monies *twice* from complainants for payment for the trailer) - - also in order to allow storage charges to accrue; and engaged in a practice of taking unlawful commissions and issuing inflated invoices, and specifically, invoices for the purchase of the Formula.⁴

³ Only now, for the first time, after complainants filed their Complaint before the Commission, did respondents take the novel position that the Formula had not been exported because respondents were allegedly awaiting shipping instructions. That assertion is not supported in the record, and rather, respondents’ feigned need to find a suitable trailer in November of 2013 for the export of the Formula is what the record shows, together with respondents’ inaction after complainants’ payment of \$4950 to respondents for the trailer.

⁴ See, footnote “1” above.

Page “4” of MTL’s Remand Opposition Brief asks “[w]hat evidence is there to suggest that MTL ratified any dealings between Mr. Solovyev and Mr. Tretiyakov?”. In the first instance, the answer to that question was addressed and answered by ALJ Guthridge and set forth clearly in the ID wherein there are numerous findings of fact regarding complainants’ purchase of the boats from MTL, and the invoices issued by RFG with regard to same (which also included charges for shipping, loading/unloading, preparation of shipping documents, and commissions).

Additionally, MTL’s argument that there was allegedly no legal connection between MTL and complainants in that MTL allegedly dealt exclusively with Andrey Tretiyakov and Middle East Asia Alfa, FZE, does not change the outcome of these proceedings, and neither the Commission nor the Presiding Officer directed the parties to brief such an issue. Such an argument further fails to address the arguments set forth in Complainants’ Remand Brief.

As already stated above, the Shipping Act violations listed above are what resulted in complainants coming to the decision that respondents were “crooks”, as well as complainants’ subsequent request to have the Formula and other boats delivered to Florida. To the extent that in page “4” of MTL’s Remand Opposition Brief, counsel appears to argue as a witness regarding what Mr. Safonov allegedly meant when he said “crooks” and that “...he does not mean Mr. Solovyev...” that argument may summarily disregarded as hearsay and is in any event irrelevant to the issues at bar. Further, any such witness testimony (by counsel at this juncture) would be the type of new evidence that per the Remand Scheduling Order of July 22, 2019 cannot now be admitted absent an explanation from counsel as to why it should be admitted and why it was not admitted previously.⁵

⁵ Page “4” of MTL’s Remand Opposition Brief also makes reference to an allegedly “unsubstantiated claim” made by the undersigned counsel on page “40” of Complainants’ Remand Brief which is nowhere to be found on page “40” of the brief.

Page “5” of MTL’s Remand Opposition Brief states that “[t]he only practice that was occurring during the subject period is Mr. Solovyev and Mr. Safonov were looking for the Formula boat and a trailer...” and asks a general question, to wit: “...is this the practice that can be attributed to MTL that has been continuous and unfair?”. As set forth above, and in light of the numerous facts and arguments which state to the contrary and which need not be repeated here, such a question (which counsel for respondents also purports to answer) is based upon a myopic analysis of the facts and cannot be answered in a vacuum which *solely* considers a line by line reading of select portions of Mr. Safonov’s deposition transcript.

Complainants can also ask general questions of respondents, such as where, in the entirety of the fifty-seven (57) pages of MTL’s Remand Opposition Brief is an explanation as to why the Formula was not exported if MTL admits (or asserts) that it had actually purchased a trailer so that it could be exported.

Page “6” of MTL’s Remand Opposition Brief purports to argue as to the issuance of inflated invoices that “...such issuance of invoices cannot be attributed to [MTL]...” and that “MTL did not issue any invoices to Crocus with respect to the Formula Boat” in an apparent attempt to ‘pass the buck’ to Royal Finance Group, Inc. (“RFG”). Without restating at length the arguments and facts set forth in detail in Complainants’ Remand Brief, which include the ALJ’s findings of fact regarding Solovyev acting as an “agent” for MTL individually and through the various companies owned by him (including RFG which was owned *solely* by Solovyev), it is sufficient to respectfully refer the Presiding Officer to point “12” and then to point “11” on p.15 of Complainants’ Remand Brief, which explain as follows:

- (12) for the first time on August 13, 2014, MTL sent Final invoice # 50677 to RFG for 369 days of storage of the Formula and for “unloading”. The total amount is \$39,409.39 and a copy of the invoice, bates numbered “RESP 019” in this record, is annexed hereto as Appendix “H”

- (11) for the first time on August 13, 2014, respondents sent an invoice to Crocus Investments, LLC for \$38,859.39 for 369 days of storage of the Formula (CX 106) (See, ID at p. 18, FF# 97); plus the sum of \$550.00 for “unloading from the trailer”. The total is \$ 39,409.39.⁶

Accordingly, and in view of the foregoing, MTL cannot now reasonably be heard to say that inflated invoice # 50677 which was issued by it and passed along to complainants via the RFG invoice issued on the same day, could not be “attributed” to MTL. Even on June 1, 2015, MTL issued another invoice through RFG (bates numbered RESP 018 in the record below and annexed hereto as Appendix “B”), respondents continued to unlawfully charge storage for the Formula which they refused to release. We also note that this invoice charges for 320 days of storage rather than the 369 days of storage as set forth in the August 13, 2014 invoice listed above.⁷

As to counsel’s final question on page “6” of MTL’s Remand Opposition Brief which asks: “[w]hat is so unreasonable about asking for payment for storage?” we simply say here that the answer to that question has been answered many times in this brief and in Complainants’ Remand Brief and cries out like a screaming hard rock band. Suffice it to say that upon arrival to MTL’s storage facility, that the Formula was in the first instance unloaded from a trailer (for which MTL charged complainants \$550.00) at which time respondents advised complainants that the Formula could not be exported without a suitable trailer. Respondents then did nothing, for an entire year, towards obtaining a suitable trailer and knew that storage charges were accruing during that time. Respondents also, during that time, deliberately failed to inform complainants as to the accrual of

⁶ Footnote “13” on p. 15 of Complainants’ Remand Brief further explains that in Finding of Fact # 97 of the ID, the Presiding Officer omitted to explain that the invoice referenced in the Finding of Fact, to wit: the invoice bates numbered CX106 in this record (which is annexed to Complainants’ remand Brief as Appendix “G”) contains a line item for “Storage” in the sum of \$38,859.39, and “Unloading from the trailer” in the sum of \$550.00, both of which are included within the total of \$39,409.39.

⁷ Finding of fact 103 in the ID explains that MTL’s tariff states: “Carrier provides 30 calendar days free storage prior for vehicles, trucks and boats received for US export shipment at its CFS/CY as listed herein. Beyond 30 days, storage charges per day apply as follows: A. STORAGE CHARGES AT BAYONNE, NJ ... Boats: USD 20 per day.” (CX 178.) -- This means that for at least 49 days, that MTL in capacity as OTI followed its tariff for storage prior to export.

storage charges, and failed to provide invoices and statements of account. The unreasonableness of asking for payment for storage under these circumstances is self-evident.

As to the sum of \$12,000.00 at issue herein, which as set forth in Complainants' Remand Brief, contains unlawful commissions charged by MTL, we simply state again here that the invoice containing the charge of \$12,000.00 was issued by MTL through RFG. And we note again, footnote "1" herein on that issue provides a breakdown of the \$12,000.00 which is supported by the documents contained within the Appendix to Complainants' Remand Brief.

III. MTL's Arguments Regarding An Alleged Failure To Establish That MTL's Practices Proximately Caused A Loss To Complainants Does Not Address The Evidence And Issues Raised In Complainants' Remand Brief

In the first instance, respondents' argument regarding complainants' receipt of the invoice for storage for the Formula (for the first time) in August of 2014 has already been addressed above and is based upon faulty logic. The issue is not when the invoice was received, but rather what occurred prior thereto, including among other things, MTL's failure to notify complainants of the accrual of storage charges for the Formula.

Additionally, and to the extent that pages "6" through "7" of MTL's Remand Opposition Brief make reference to the October 25, 2018 deposition of Alexander Safonov (and specifically to pp. 71-72 of the deposition transcript) it should be noted that MTL disingenuously attempts to make it appear that this specific deposition testimony is related to the subject Formula (when it absolutely has no bearing on the Formula). Rather, the subject testimony addresses *only* the other two boats which were at issue in this matter (to wit: the Monterey and Chaparral). See, Respondent's Ex. 2 at p. 67/ln. 5 where the exchange begins as follows:

Q. So in May of 2013 these two boats, the Monterey and Chaparral, get to your facility, correct?

A. Correct.

After this exchange, pages 68-72 of the deposition transcript contain colloquy regarding “these boats”, which at no time include any reference, discussion, or mention whatsoever regarding the subject Formula.

Further, to the extent that MTL relies upon page “76” of the subject deposition transcript regarding Solovyev’s promise of free storage for the Formula in order to argue that “...this exchange demonstrates that Crocus was not surprised or impacted by the alleged inflated invoices but surprised by the fact that there were invoices at all because in Mr. Safonov’s mind...storage charges would not be applied at all...” said argument improperly makes inferences as to Mr. Safonov’s state of mind, and is not relevant to the matter at bar inasmuch as neither the Commission nor the Presiding Officer directed briefing on the issue of whether or not the Mr. Safonov believed storage charges would not applied.

Also, while MTL cites page “76” of the subject deposition transcript in support of its argument above regarding complainants’ surprise as to being charged for the storage of the Formula (which as explained herein was free storage pending Solovyev procuring a suitable trailer prior to *export* to Dubai), MTL also disingenuously omits the testimony on pp. 74-75 of the transcript where Mr. Safonov states that he had instructed Solovyev to send the Formula to Dubai:

Q. There was another boat, the Formula -- I don't remember the number, but Formula. Was there another boat at issue in this case which was a Formula boat?

A. Yes.

Q. What was the agreement between you and Alex with respect to this boat?

Q. What was your understanding as to what would happen to this boat? What did you agree on with Alex?

A. I bought this boat from MTL, from Solovyev.

Q. Did you ever ask Alex to send the boat to Dubai?

A. At first, when I was in the process of buying this boat from Solovyev, I told him that he should transport it to Dubai.

Q. And did he transfer it to Dubai?

A. No.

(See, Respondent's Ex. 2 at p. 74/ln. 10-23; p. 75/ln. 9-17).

Regardless of the foregoing, MTL's attempt to now introduce the October 25, 2018 deposition transcript of Mr. Safonov is again an attempt to introduce witness testimony and new evidence, which per the Remand Scheduling Order of July 22, 2019 cannot now be admitted absent an explanation from counsel as to why it should be admitted and why it was not admitted previously. That explanation is absent from MTL's Remand Opposition Brief, and accordingly, any arguments based on the transcript to the prejudice of complainants should be disregarded by the Presiding Officer.

To the extent that MTL argues on page "7" of its brief that: "[w]hile Mr. Solovyev and Mr. Safonov were resolving issues with a trailer, MTL had nothing to do with that", the issues of Solovyev acting as "agent" of MTL have been established for reasons set forth at length in the ID and in Complainants' remand Brief and will not be repeated again here.

IV. The Facts And Legal Arguments In Complainants' Remand Brief Overwhelmingly Establish That MTL Acted As An OTI During The Subject Time Period And That Solovyev's Actions As "Agent" Bind MTL As "Principal" Making MTL Liable For The Shipping Act Violations Alleged Herein

In the fourth and final section of MTL's Remand Opposition Brief, MTL addresses the issue of MTL's OTI activity regarding the Formula during the subject time period. Up front, and to the extent already addressed above and in Complainants' Remand Brief, the issue of Solovyev acting as "agent" of MTL (which was already established by Chief ALJ Guthridge in the ID) will not be repeated here. For MTL to now argue (for the first time) that an agency relationship between

Solovyev/RFG and MTL allegedly did not exist is an attempt to pivot from their prior position on this issue, which was to wit: that respondents had wholeheartedly agreed with the findings of fact by the ALJ as set forth in the ID.

Additionally, and to the extent that MTL again attempts to argue the issue of complainants' alleged lack of standing to pursue their claims (which is not an issue which the parties were directed to brief on remand), complainants' response to that argument has already been addressed above.

Further, and to the extent that MTL again revisits the October 25, 2018 deposition of Alexander Safonov in order to argue that "...there is absolutely no evidence that – even during the subject period...MTL acted as an OTI with respect to any agreement or arrangement to ship the Formula overseas...", again, MTL disingenuously omits pp. 74-75 of the transcript cited above in the previous section of this Remand Reply Brief wherein Mr. Safonov explains that he had instructed Solovyev to send the Formula to Dubai - - that testimony need not be repeated again here.

Also, MTL's argument now that there is allegedly no evidence that it acted as an OTI with respect to any agreement or arrangement to ship the Formula overseas is an attempt to pivot from its prior position which was to the contrary, and which was, to wit: that the Formula was received by MTL and was in fact destined for export pursuant to an MTL NVOCC House Bill of Lading. As explained in point "2" on page "12" of Complainants' Remand Brief:

"respondents allege in their Answer to the Complaint herein that after MTL sold the 2010 Formula to complainants that respondents had the Formula delivered to WEC's warehouse to "...await further instructions and payment from Middle East Asia, which were never received, for its ocean shipment from Port Newark to Jebel Ali or any other foreign destination, pursuant to a MTL NVOCC House Bill of

Lading” (See, Answer filed on July 10, 2015, FMC Docket 15-04, Document No.: 5 at ¶ 16)”⁸

The foregoing serves as a further admission that MTL was in fact acting as an OTI with regard to the Formula in that it was destined for shipment from Port Newark to Jebel Ali. We add again that there is nothing in the record to support the argument that the Formula could not be exported because MTL was allegedly awaiting further instructions or payment, and that this issue was raised for the first time after complainants filed their complaint with the Commission. As explained in Complainants’ Remand Brief, not only was advance payment not required, but respondents were already in possession of monies for ocean freight.

V. Respondents’ Newly Proffered Invoice Regarding The Sum Of \$8,400.00 May Be Summarily Disregarded By The Presiding Officer And Given No Consideration

To the extent that MTL argues on page “9” of its brief that: “Crocus also contends that the \$8,400 amount was paid towards the shipping of the Formula boat, but this is not true...” and that “[a]ccording to MTL’s accounting department, this sum was not for loading and shipping of the Formula boat but rather a different boat...” and wherein MTL relies upon its Exhibit “4” to its Remand Opposition Brief, while that argument may solely address the issue of the payment of \$8,400, MTL again fails to respond to the numerous other instances of complainants’ payment of

⁸ Footnote “5” in Complainants’ Remand Brief on this point explains that: as part of the parties’ regular course of business, MTL regularly provided to complainants an MTL House Bill of Lading (“HBOL”) which contained specific language regarding payment to MTL for Ocean Freight. (See, ID at p. 14, FF# 48 referring to complainants’ exhibit (CX 006), a copy of which is annexed to Complainants’ Remand Brief as Appendix “A” and which states as follows: “Payment must be recovered no later than 2 weeks after sailing date. Past due Invoices are subject to mandatory Late Fee (\$50) and Documentation Fee”. We note for that during the time period relevant to the events in this action, MTL exported a Mercedes and Porsche to a warehouse in Dubai controlled by complainants (See, ID at p. 19, FF# 101). A copy of the MTL HBOL containing the same language as set forth above for payment for ocean freight, can be found on the Commission’s Docket in the matter of MAVL Capital Inc., supra, (FMC Docket No.: 16-16) in Document 26 filed on March 7, 2017: Complainant’s Appendix to Petition for Leave to Supplement Exceptions of Complainants to the Initial Decision, in Exhibit “A” thereof. The HBOL was not produced in this matter because there were no Shipping Act violations alleged with regard to the shipment of the cars. It is relevant now because the HBOL was issued during the same time period of the events alleged in this action and is indicia of MTL’s routine practice allowing for up to two weeks after sailing for collection of payment.

monies to MTL related to the subject Formula, as well as the fact that advance payment for shipment of the Formula was not required prior to export of the boat to Dubai.

In the first instance, the Presiding Officer is again asked to note how many times respondents were exposed for creating false documents in order to deceive complainants (and then this Commission), as well as the numerous instances wherein respondents perjured themselves under oath regarding whether or not Solovyev had signed the Vessel Bills of Sale at issue in this matter (to which Solovyev finally admitted to signing only after having been pressed on the issue after years of litigation). The invoice relied upon by MTL in its Exhibit “4” to its Remand Opposition Brief is just another example of a false document crafted to suit MTL’s purpose at this moment and may be given zero credibility by the Presiding Officer.

Assuming *arguendo* for the moment that MTL is correct that the \$8,400 was allegedly not for loading and shipping of the Formula boat but rather a different boat, to wit: the 2005 Sea Ray Sundancer 300 referenced in the RFG Invoice number 27345, dated August 6, 2013, it would mean that MTL booked the shipment for the Sea Ray Sundancer on June 17, 2013, as evidenced on the Hoegh Autotliners AS Bill of Lading (bates numbered DEF0419 and annexed hereto as Appendix “A”) - -and this can be seen by reference to the XTN number for this booking which reads as follows: X20130617006181.⁹ This document is being provided here at this point in that it is relevant to establish that MTL made the booking in preparation for export without any advance payment on 06/17/2013, and the XTN was generated after MTL had all information required to complete the Shipper’s Export declaration, such as booking number, port of loading, port of destination, consignee, etc.

⁹ It is respectfully submitted that inasmuch as the Commission is already familiar with the manner in which each XTN number is related to an accompanying Shipper’s Export Declaration filed electronically with the U.S. Department of Commerce, the mechanics of how the XTN number is generated will not be repeated here, except to note that the XTN number itself contains the date on which it was electronically generated.

That would mean that while the booking was made on June 17, 2013, that as set forth in Complainants' Remand Brief, RFG paid MTL the sum of \$8,400 by check number 5135 on August 15, 2013, almost sixty (60) days after the booking was made, and two days after the payment of \$8,400 would have been due inasmuch as the invoice states that payment was due on August 13, 2013. - - This supports complainants' explanation that advance payment was not necessary in order to export the Formula.

If the foregoing was true, then this would contradict MTL's prior representations to the Commission regarding the need for advance payment prior to shipment, as well as the language in RFG Invoice number 27345, dated August 6, 2013 which purported to levy a mandatory penalty of \$250 for late payment of the invoice, which in the matter at bar, despite payment being made two days after the due date, was never levied.

Again, the Presiding Officer is asked to note that Complainants' Remand Brief explains that RFG paid MTL \$8,400 (by check number 5135) on August 15, 2013, and that the check was paid four (4) days after the Formula was unloaded in WEC's warehouse. Accordingly, MTL's novel argument that this was payment for the Sea Ray Sundancer simply makes no sense.

CONCLUSION

MTL, acting as an NVOCC, has violated Section 10(d)(1) by failing to observe just and reasonable practices connected with the handling, storing, and delivering of Complainant's property, by, inter alia: failing to inform complainants about accumulation of storage fees related to the storage of the subject Formula boat; by deliberately remaining silent for period of at least three months after having taken possession of the Formula while allegedly undertaking to find a suitable trailer so that the Formula could be exported, in order to allow storage charges to accrue; by acting in the capacity of Ocean Freight Forwarder ("OFF") by giving advice on the need to find a suitable trailer and then failing to complete some of their duties to secure delivery of the Formula

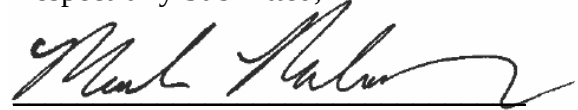
(such as actually finding a suitable trailer so that the Formula boat could be exported despite having collected monies twice from complainants for payment for the trailer) - - also in order to allow storage charges to accrue; and engaging in a practice of taking unlawful commissions and issuing inflated invoices, and specifically, invoices for the purchase of the Formula; in failing to provide account statements regarding the accrual of storage charges for the Formula; and after refusing to export the Formula, by refusing to release it to complainants.

Complainants are entitled to reparations for the loss of the Formula as set forth in the Complaint and the Complainants' opening and reply post hearing briefs, as well as an award of attorney's fees.

WHEREFORE, it is respectfully requested that on remand, that Complainants' be granted judgment in their favor with regard to their Shipping Act claims regarding the Formula boat, together with such other and further relief as the Presiding Officer may deem just and proper under the circumstances.

Dated: November 14, 2019
New York, New York

Respectfully Submitted,

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

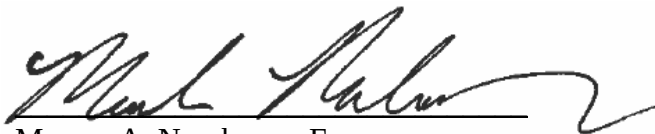
Marcus A. Nussbaum, Esq.
Mail Drop: P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' REMAND REPLY BRIEF AND APPENDIX** upon Respondents' Counsel at the following address:

Garry Pogil, Esq.
112 West 34 Street, 18 Floor
New York, NY 10120

by first class mail, postage prepaid, and by email to: garry.pogil@gmail.com.

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

Dated: New York, New York
November 14, 2019

APPENDIX “A”

(Enterprise No. 933099628)

BILL OF LADING

COPY

YOU RELEASE & AGREE TO INDEMNIFY CARRIER'S AFFILIATES AGAINST ALL LOSS OR DAMAGE
RESULTING FROM THE COMPLETION OF THIS AGREEMENT, REGARDLESS OF WHETHER THE CARRIER IS AT
FAULT AND/OR NOT NEARLY SO.

FREIGHT PAYABLE A7/BY

*CARRIER'S LIMITATION OF LIABILITY - TO APPLY WHEN GOODS ARE SHIPPED TO OR FROM A PORT IN THE UNITED STATES

The parties agree that this US\$ 500 shall apply to each container, or other package shipped, or in the case of unloaded vehicles, per freight unit charged for each vehicle. In no event goods are not shipped in packages, the Carrier's liability will be limited to US\$ 500 for each customary freight unit. Unless a higher valuation is declared in the above and the higher freight is paid, each Carrier's liability will be limited to US\$ 500 for each such package or customary freight unit.

GOODS SHIPPED onboard the vessel in apparent good order and condition, weight, measure, marks & numbers, quality, contents and value unknown unless specified herein, but carriage in the port of destination or to any thereof as the vessel may safely get and be ready to sail, to be delivered in the first good order and condition at the place sold prior to Consignment or Break Sale. Freight per ton per mile on the margin plus other charges entered in accordance with the provisions in the Bill of Lading - unless specified - not to be paid by Consignee or

In accepting this B/M of Lading the Merchant expressly accepts and agrees to all it's stipulations on both pages, whether written, printed, stamped or otherwise incorporated, as fully as if they were all signed by the Merchant.
 One original B/M of Lading must be surrendered duly endorsed in exchange for the goods or delivery order.

IN WITNESS whereof the Carrier or agent has signed (3) three Bills of Lading of of the tenor and date, one of which being accomplished, the other(s) shall be void.

Höegh Autoliners Inc.
As Agents for Höegh Autoliners AS, Carrier

PREPARED			By		
Mo	Day	Yr	Bill No	FREIGHT PARTICULARS	RATE PER
			MOHAMED YAKUB		
NON-NEGOTIABLE					



DEF0419

APPENDIX “B”

Marine Transport Logistics
63 New Hook Road, Bayonne, NJ 07002
TEL : 646.725.1335
e-mail : info@mtlworld.com

06/01/2015

INVOICE #80943

3 boats storage only, Final invoice

TO :
Royal Finance group
1040 Seminole Dr., Apt.1460
Fort Lauderdale, FL -33304

Description of services, Storage in Bayonne, NJ :

2010 Formula vin# TNRD7870C010	-	\$33,699.20 (320 days)
2008 Chaparral vin#38D808	-	\$ 8,850.00
2011 Monterey vin# 931011	-	\$ 8,850.00
Discount 15%	-	\$ 7,710.00

TOTAL : \$43,689.20